By M.G. Arun

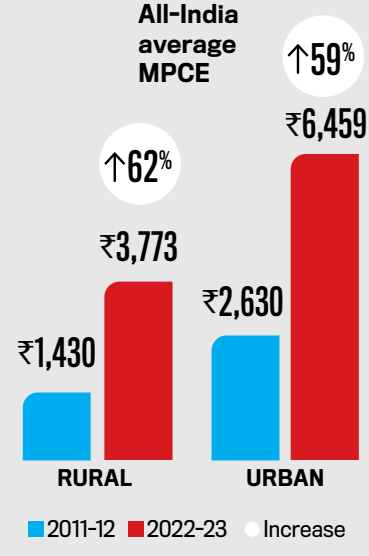


HOW INDIAN HOUSEHOLDS SPEND

THE MONTHLY PER CAPITA EXPENDITURE (MPCE) DATA OF INDIAN HOUSEHOLDS HIGHLIGHTS CHANGING CONSUMPTION TRENDS

A RURAL SURGE

In the past decade, spending on goods and services by rural Indians has risen at a faster pace than that in urban areas



BOTH RURAL AND URBAN INDIA ARE WITNESSING A SHIFT IN CONSUMPTION FROM CEREALS TO FRUITS AND VEGETABLES, INDICATING MORE INCOME

Despite a nearly seven per cent growth projected for India this fiscal and the next, economists often quoted slackness in rural income and consumption as a stumbling block to prosperity. But a new set of data put out by the Centre on February 24 has brought some cheer on that front.

The Household Consumption Expenditure Survey, released by the ministry of statistics and programme implementation (MoSPI) after a gap of 11 years, suggests that the spending on goods and services by rural Indians has risen at a faster pace than that in urban areas. Expressed as the average monthly per capita expenditure (MPCE), it shot up by 62 per cent in rural areas—from Rs 1,430 in 2011-12 to Rs 3,773 in 2022-23, as compared to a 59 per cent rise in urban centres—from Rs 2,630 to Rs 6,459. The survey, which covered 261,746 households across 8,723 villages and 6,115 urban blocks spread across the country, is useful in understanding the consumption and expenditure pattern of Indians, their standard of living and well-being. A similar survey was conducted in 2017-18 as well, but the results were junked by the Centre, citing issues in the quality of data collected.

In the latest report, what's even more encouraging is the fact that the share of non-food expenditure in rural India is now higher (54 per cent) than that of expenditure on food (46 per cent). Spending less on food as a percentage of the total could very well mean that a person is able and willing to spend more on discretionary items like consumer durables, apparel, or other aspirational products. Moreover, the data shows that the difference between rural and urban spending is narrowing, thus bridging the metaphorical gap between Bharat and India, and is the lowest in two decades (71.2 per cent). It was 76 per cent in 1999-2000.

"Such endogenous factors," says Soumya Kanti Ghosh, group chief economic advisor, State Bank of India, "are mostly due to initiatives the government has taken in terms of direct benefit transfers, building rural infrastructure, augmenting farmers' income and improving rural livelihoods significantly." Madan Sabnavis, chief economist with the Bank of Baroda, calls it a "natural" development. "Once we meet our necessities, we tend to spend on other discretionary goods," he explains. "Besides, if food comes in free, there is more to spend on other items."

Whatever the explanation, the timing couldn't have been better for the ruling dispensation, as the report comes just weeks ahead of the general election. It also gels with the NITI Aayog's recent claim that 248.2 million Indians have come out of multidimensional poverty in the past nine years. "Rural poverty has staged a significant 440 basis point [4.4 percentage point] decline since 2018-19," says Ghosh, "and urban poverty is down 170 basis point [1.7 percentage point] post pandemic." This, he says, has "vindicated" the salutary impact of government schemes launched for those at the bottom of the pyramid.

So, how are the choices of Indian consumers changing? Both rural and urban India are witnessing a change in food habits. The consumption of cereals and pulses is dropping, and that of milk is increasing. Similarly, both are spending

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